



Think Ahead

Advanced Financial Management (AFM) Sept/Dec 2021 Examiner's report

The examining team share their observations from the marking process to highlight strengths and weaknesses in candidates' performance, and to offer constructive advice for those sitting the exam in the future.

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General comments

This examiner's report should be used in conjunction with the published March/June 2021 sample exam which can be found on the [ACCA Practice Platform](#).

In this report, the examining team provide constructive guidance on how to answer the questions whilst sharing their observations from the marking process, highlighting the strengths and weaknesses of candidates who attempted these questions. Future candidates can use this examiner's report as part of their exam preparation, attempting question practice on the [ACCA Practice Platform](#), reviewing the published answers alongside this report.

Question 1 – Zhichi Co

The following exhibits, available on the left hand side of the screen, provide information relevant to the question:

1. Zhichi Co policy failures
2. New project discount rate
3. New project cash flows
4. Financing the new project
5. Future project funding

This information should be used to answer the question requirements within your chosen response option(s).

Requirements (10 marks)

(a) Discuss and justify the actions Zhichi Co should take to address the three financial strategy policy failures. (8 marks)

(b) Prepare a report for the board of directors (BoD) of Zhichi Co which:

(i) Estimates an appropriate discount rate to use to determine the net present value of the new project based on all-equity finance; (8 marks)

(ii) Estimates the net present value of the new project, assuming that it is all-equity financed; (9 marks)

(iii) Estimates the adjusted present value of the new project; (7 marks)

(iv) Evaluates whether the new project should be undertaken, and:

- discuss the assumptions made in the estimates above;
- discuss whether the adjusted present value method would be more appropriate than the conventional net present value method to evaluate the new project. (10 marks)

Professional marks will be awarded in part (b) for the format, structure and presentation of the report. (4 marks)

(c) Compare and contrast whether Zhichi Co should raise future funding through new debt finance or through asset securitisation. (8 marks)

General comments on time management

Zhichi Co was a 50-mark question, which translates (using 1.8 minutes per mark) into 90 minutes of the exam. It is important to allow yourself time for reading, thinking and checking your answer within these 90 minutes, and use the same weightings within each requirement of the question to ensure you have the opportunity to gain the maximum marks across the question. You should avoid the temptation to expand your answer to one requirement beyond the allotted time. For example, some candidates spent too long on Q1(a), meaning that they reached the maximum mark allocation well before the end of their answer. This meant they used time that should have been spent answering the remaining requirements. Markers cannot allocate more marks to a requirement than is available, even if the comments may otherwise be worthy of marks¹. So, in short, stick to your allotted time, and time spent considering a quick answer plan may help you to keep your answer “on track”.

¹ Candidates can discuss issues, which may not appear in the suggested solution. Providing their arguments are logical and the conclusions derived are substantiated, then marks can be awarded accordingly. Full marks require the application of relevant knowledge. Conversely, no marks will be awarded for the reproduction of irrelevant knowledge or irrelevant issues.

General comments on question

Zhichi Co was drawn from the advanced investment appraisal section of the syllabus (section B), focusing on the adjusted present value (APV) technique of investment appraisal. The scenario is broadly similar in complexity to previous questions that have been examined on the same syllabus area. The requirements tested the ability of candidates to undertake a number of detailed calculations and to discuss associated issues relevant to those calculations.

The scenario begins with background information about a listed engineering company and offers possible explanations for the company's underperforming share price in the form of financial strategy policy failures. The scenario then presents detailed information about a project the directors are considering, which would involve the company diversifying into a new business area. Finally, the scenario also provides information about the funding options being considered for forthcoming projects.

The initial requirement asked candidates to discuss and justify the actions the company should take to address the policy failures that have contributed to the underperforming share price. The question then required candidates to prepare a report which estimates the APV, including an appropriate discount rate for the new project, and evaluates whether the project should be undertaken or not. Candidates were also asked to discuss the assumptions made in their calculations and also whether the APV method is more appropriate than the net present value (NPV) method for appraising the new project. Finally, candidates were required to compare and contrast the funding options being considered for forthcoming projects and specifically, whether Zhichi Co should raise future funding through debt finance or asset securitisation.

The detailed review below focuses on key problems that were identified and future candidates would do well to address these.

Requirement (a) – 8 marks

(a) Discuss and justify the actions Zhichi Co should take to address the three financial strategy policy failures.

Exhibit one identified three separate financial strategy policy failures, as suggested by a number of financial analysts, as possible reasons for Zhichi Co's underperforming share price. The policy failures included the company's failure to undertake post-completion audits, its use of a fixed discount rate and the signalling effects of a funding strategy that relies solely on equity finance. In part (a) candidates were required to discuss and justify the actions Zhichi Co should take to address each of these policy failures.

Candidates coped quite well with this requirement, particularly the responses with respect to the second and third of the policy failures as listed above. The most common error was to confuse post-completion audits with capital investment monitoring although this did not automatically disqualify candidates from any credit

for this part of the requirement since the concepts share some similarities. The best answers identified the underlying flaws of each policy failure, recommended appropriate policy changes that should be made and how these would impact Zhichi Co's share price. Weaker responses tended to ignore the implications for the company's share price. For example, many candidates recognised that a fixed discount rate ignores business risk and, depending how the project is financed, identified that a risk-adjusted cost of capital should have been calculated. These are credible points and such responses gained partial credit. However, for full marks the best answers linked this policy failure to the scenario, explaining that a fixed discount rate may have led Zhichi Co to accept new projects when they should have been rejected and that such a policy failure could have destroyed shareholder value and contributed to the company's underperforming share price.

Requirement (b)

Part (b) required candidates to prepare a report covering a number of issues.

(b) Prepare a report for the board of directors (BoD) of Zhichi Co which:	
(i) Estimates an appropriate discount rate to use to determine the net present value of the new project based on all-equity finance;	(6 marks)
(ii) Estimates the net present value of the new project, assuming that it is all-equity financed;	(9 marks)
(iii) Estimates the adjusted present value of the new project;	(7 marks)
(iv) Evaluates whether the new project should be undertaken, and:	
• discusses the assumptions made in the estimates above;	
• discusses whether the adjusted present value method would be more appropriate than the conventional net present value method to evaluate the new project.	(10 marks)
Professional marks will be awarded in part (b) for the format, structure and presentation of the report.	(4 marks)

Requirement (b)(i) – 6 marks

Part (b)(i) required candidates to estimate an appropriate discount rate to be used in determining the NPV of the new project, based on all-equity finance. The wording of the requirement strongly hinted that the appropriate discount rate in these circumstances is the project's ungeared cost of equity. Exhibit two provided financial data for two companies, Liyu Co and Sanwenyu Co, which enabled candidates to estimate an asset beta attributable to the business risk of the new sector Zhichi Co is planning to diversify into. Using that estimate, candidates were then expected to apply the capital asset pricing model to determine the project's ungeared cost of equity.

The calculations were mixed, with a significant number of candidates scoring limited marks whilst many others scored full marks. The vast majority of candidates were able to calculate Liyu Co's asset beta, which incorporated systematic risk from two distinct business activities. Only one of these business activities was relevant to Zhichi Co's new project and so candidates were expected to use the data from

Sanwenyu Co to isolate the systematic risk relevant to Zhichi Co's new project. However there was strong evidence that many candidates were unable to use the algebraic techniques which were required to do this.

A significant number of candidates also confused the financial data from one company with data from the other. Although markers were instructed to be relatively generous as long as the overall method was correct, more careful scrutiny and planning would have avoided such mistakes. Other common errors included incorrectly calculating a geared cost of equity rather than an ungeared cost of equity, whilst others attempted a weighted average cost of capital. Candidates making these errors need to understand the rationale behind the discount rate that is used in the base case NPV calculations.

On the whole, candidates who did not do well demonstrated either a lack of understanding of the rationale behind the discount rate used in the base case NPV calculations or a lack of question practice in terms of calculating an appropriate asset beta, for example how to isolate the effect of one business activity in the asset beta of a diversified company.

Requirement (b)(ii) – 9 marks

Part (b)(ii) required candidates to estimate the NPV of the new project, assuming that it is all-equity financed. This involved applying the discount rate from part (b)(i) to the project's cash flows so that candidates could calculate a base case NPV.

Exhibit three provided information relevant to the project's expected cash flows. The calculations required were largely done well, with many candidates correctly calculating the new project's operational, working capital and taxation cash flows. Common errors included not calculating incremental cash flows for working capital and ignoring the instruction in the scenario which stated that tax is payable with a year's time delay. A small number of candidates incorrectly made adjustments to the all-equity discount rate calculated previously, demonstrating a fundamental misunderstanding of the requirement which clearly specified the correct discount rate to be used. Overall this requirement was answered well and in many cases candidates achieved full marks for their base case NPV calculations.

Requirement (b)(iii) – 7 marks

Part (b)(iii) required candidates to estimate the APV of the new project. This involved adjusting the base case NPV calculation from part (b)(ii) to account for the financing side effects relevant to the new project. Exhibit four provided information on the project's financing, including details about a subsidised loan and the related issue costs.

The calculations were challenging for many candidates. Common errors included not discounting the financing side effect cash flows at all or using the all-equity discount rate from part (b)(i), instead of using Zhichi Co's normal borrowing rate or the risk free rate as an acceptable alternative. Both errors demonstrate a fundamental misunderstanding of the purpose and relevance of the APV method of investment appraisal. When calculating the tax shield, the vast majority of candidates ignored the implications of the one-year time delay to Zhichi Co's tax payable even when they had correctly identified and treated this time delay in part (b)(ii).

Requirement (b)(iv) – 10 marks

As a first step, part (b)(iv) required candidates to evaluate whether the new project should be undertaken and to discuss the assumptions made in the estimates. Overall, this part of the requirement was often answered well although there are still many candidates who provide one-word recommendations as part of their evaluation. At this level, candidates are expected to provide a more meaningful analysis than 'accept' or 'reject' and at the most basic level would be expected to provide a justified recommendation to earn any credit. The answers discussing the assumptions were done well although there are still many candidates who provide generic rather than scenario-specific assumptions. The marks available for such a generic discussion are always going to be strictly limited at this level. The best answers often demonstrated a degree of professional scepticism, for example explaining why an assumption might not be appropriate and how this would impact the company's shareholders via changes to the APV.

Candidates were also expected to discuss whether the APV method would be more appropriate as an appraisal technique for the new project than the NPV method in the final stages of part (b)(iv). The answers to this part of the requirement were mixed, with many candidates erroneously stating that the NPV method does not take account of debt financing. Many candidates also provided lengthy explanations about the mechanics of an APV calculation and how this is calculated, even though this was not part of the requirement and therefore attracted no credit. The best answers discussed the rationale behind both appraisal methods and then explained why the APV method is more appropriate for Zhichi Co's new project.

Professional marks – 4 marks

The professional marks are relatively easy to obtain and the vast majority of candidates scored well in this section. Indeed many candidates earned all the professional marks available, which helped with the overall quality of the answers to this question. As with previous sessions, the best responses split the bulk of the calculations into an appendix, showed a suitable opening rubric and provided a brief introduction and conclusion to the report. A small number of candidates ignored most, if not all, of these criteria and therefore lost an opportunity for relatively easy credit.

Requirement (c) – 6 marks

(c) Compare and contrast whether Zhichi Co should raise future funding through new debt finance or through asset securitisation.

Exhibit five provided information on two future funding options actively being considered by Zhichi Co's board, including details on a securitisation option. Part (c) required candidates to compare and contrast whether future funding should be raised through new debt finance or through the asset securitisation option.

Overall, the responses to this requirement were disappointing with many candidates confusing the concept of asset securitisation with the collateral or security that is often provided when companies raise debt finance. Very few candidates were able to explain asset securitisation as it applied to the scenario and indeed many candidates ignored this part of the requirement altogether. Since candidates were expected to compare and contrast both funding options, this type of approach earned limited credit even when candidates provided a lengthy discussion on debt finance. The best answers demonstrated a clear understanding of the concepts involved, gave an equal weighting to both funding options and considered the implications of both funding options for Zhichi Co, for example the impact on gearing, debt capacity and cost.

Conclusion

Overall, candidates performed very well on a challenging question, although the responses to part (c) were variable. Those candidates who adopted an organised and logical approach were usually able to make better progress through the calculations. This type of approach also provides a useful framework within which to provide a coherent and meaningful analysis. Candidates should practice past questions under exam conditions if they are going to develop the necessary skills to achieve this.

Question 2 - Brandon Co

AFM September/December 2021 exam (21/22 syllabus)

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Exhibits

- 1. Brandon Co
- 2. Transaction to be hedged

Requirements

- Requirements (25 marks)

Response Options

- Word Processor
- Spreadsheet

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

- Brandon Co
- Transaction to be hedged

This information should be used to answer the question requirements within your chosen response option(s).

Requirements (25 marks)

(a) Explain how the functional areas of a treasury department could add value to Brandon Co's restructuring plans and for each functional area, discuss the advantages of a centralised treasury department. (7 marks)

(b) Recommend a hedging strategy for the \$50m loan based on the hedging choices the treasury manager is considering, if the central bank base rate increases to 4.6%. Support your answer with appropriate calculations. (15 marks)

Note: Up to 4 marks are available for discussion.

(c) Briefly explain what is meant by smoothing and how this technique could be used to manage Brandon Co's interest rate risk. (3 marks)

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Brandon Co was a 25-mark question, which translates into 45 minutes of the exam (based on 1.8 minutes per mark). The question focuses on advanced risk management techniques and is drawn from Section E of the syllabus. The individual question parts are broadly similar in scope and complexity to requirements that have appeared in previous risk management questions and should not have been unexpected.

Exhibit one presented information about a holding company, Brandon Co, that is undertaking an overseas expansion as part of a corporate restructuring. The company's board is also considering the possibility of centralising the treasury department as part of that restructuring proposal. The expansion plan is to be funded at least in part by debt, exposing Brandon Co to interest rate risk. Exhibit two presented information about how that risk could be managed.

The initial requirement asked candidates to explain how the treasury department could add value to the corporate restructuring proposal and to discuss the advantages of a centralised treasury in the context of such a proposal. Candidates were then asked to perform hedging calculations based on the company's future expected borrowings as part of the funding requirement for the restructuring exercise. Finally, candidates were asked about smoothing and how this technique could be used to manage Brandon Co's interest rate risk.

The requirements in this question are technically demanding. However, candidates who were well prepared were able to demonstrate the requisite level of technical competence and scored high marks. Overall, candidates coped quite well with this question but the responses to parts (a) and (c) in particular were often disappointing. The detailed review below focuses on the key problems that were identified and future candidates would do well to address these.

Requirement (a) – 7 marks

(c) Explain how the functional areas of a treasury department could add to Brandon Co's restructuring plans and for each functional area, discuss the advantages of a centralised treasury department.

Part (a) asked candidates to explain how the functional areas of a treasury department could add value to Brandon Co's restructuring plans and for each functional area, to discuss the advantages of a centralised treasury department. Candidates were expected to apply their knowledge about the role of the treasury department in the context of Brandon Co's restructuring and expansion plans. However too many candidates provided very limited answers to this requirement, particularly with regard to the first part of the requirement ie how the functional areas of a treasury department could add value. Candidates who took the time to think and apply their knowledge to the actual scenario performed much better than candidates who responded to this requirement with knowledge they had rote learned.

Some candidates made general statements about the activities of a treasury department without indicating how these activities would add value in the context of a corporate restructuring. The points raised using this approach were too generic to be awarded credit.

Examples of the ranges of points that were raised by candidates are as follows.

"A treasury department may act as a profit centre or a cost centre".

This statement lacks application to the scenario. Candidates are advised that generic statements such as this will not be awarded credit in the exam.

"The treasury department will raise the capital required to fund Brandon Co's restructuring".

This statement has good application to the scenario but ignores the second part of the requirement ie the advantages of a centralised treasury department.

"The treasury department will be instrumental in raising debt to finance the expansion plan and a centralised treasury may be able to reduce Brandon Co's borrowing costs by borrowing in bulk".

This candidate recognises that the two parts to the requirement are interlinked and was awarded two marks for this statement.

Many candidates ignored the first part of the requirement entirely, focusing their answer on the advantages of a centralised treasury. Such an approach provided limited opportunities for credit.

Requirement (b) – 15 marks

(b) Recommend a hedging strategy for the £36m loan based on the hedging choices the treasury manager is considering, if the central bank rate increases to 6.6%. Support your answer with appropriate calculations.

Part (b) asked candidates to recommend a hedging strategy for the future borrowings that were expected as part of Brandon Co's corporate restructuring proposal. The interest rate risk associated with this debt was to be hedged based on a choice of a forward rate agreement (FRA) and exchange-traded futures and options. In order to answer this requirement, candidates were expected to perform a number of hedging calculations before making an overall recommendation that was consistent with their own results. Candidates were also expected to recognise the need for clear hedging instructions, particularly with regard to the buy/sell decision in addition to the number of contracts that would be required for the exchange-traded hedging methods under consideration. The responses to this requirement were quite variable but candidates generally performed satisfactorily on the calculations with a good number of candidates scoring high marks here.

Most candidates were able to select the appropriate FRA but very few were then able to clearly demonstrate the impact of the FRA if the base rate subsequently increased. Common errors included ignoring Brandon Co's credit spread in the interest payment and adding rather than subtracting the receipt from the bank under the terms of the FRA.

A significant number of candidates ignored comparatively easy marks for identifying whether the futures hedge is initiated by taking a long or short position in addition to the number of contracts that would be required. Candidates need to recognise that advice on an appropriate hedging strategy will necessarily include clear instructions about how to set up such a hedge.

Therefore candidates who made it clear that they were selling 96 March futures contracts at 93.95 quickly earned two easy marks and seemed far more able to progress quickly and accurately with the rest of the calculations.

As with previous exam sessions, the unexpired basis and expected closing futures price calculations were often done incorrectly and future candidates would do well to focus on this area in their preparation for this exam. Another common error included adding rather than subtracting the profit on the futures market to the interest payment. Since Brandon Co is expecting to borrow funds, the net borrowing cost will be reduced rather than increased by a profit on the futures market. Those candidates who had developed a structured and logical approach through extensive question practice tended to perform much better in these calculations.

Once again, there were also marks available for setting up the options hedge by clearly stating that Brandon Co should buy 96 March put options and deducing that these options would be exercised based on the expected futures price. The premium calculation was often done incorrectly and a significant number of candidates subtracted rather than added the premium when calculating the impact on Brandon Co's net borrowing cost.

In previous exam sessions, hedging questions have typically included 3 – 4 marks for advice and recommendations following the calculations and this question followed in the same tradition. These marks can be earned comparatively easily but

many candidates are still ignoring this part of the requirement. Even when the calculations are not correct, candidates are strongly advised that they can still earn full follow through credit so long as their advice is consistent with their own calculations. A small number of candidates scored very high marks in the more complicated parts of this requirement but still struggled to pass overall, simply because they had ignored the need for a recommendation and/or instructions on how to set up the futures and options hedges.

Requirement (c) – 3 marks

(c) Briefly explain what is meant by smoothing and how this technique could be used to manage Brandon Co's interest rate risk.

Requirement (c) asked candidates to briefly explain what is meant by smoothing and how this technique could be used to manage Brandon Co's interest rate risk. There were three marks available but many candidates ignored this requirement entirely. The vast majority of responses failed to demonstrate an adequate understanding of this technique and the marks awarded were therefore disappointingly low. The smoothing technique is brought forward knowledge from the Financial Management syllabus and candidates are assumed to be able to apply this knowledge in the Advanced Financial Management exam.

Conclusion

Overall, candidates performed quite well on this question. However, this was mainly due to the hedging calculations in part (b). The responses to parts (a) and (c) were more variable. A significant number of candidates spent too much time on the numerical calculations at the expense of the discussion sections, limiting their opportunities for additional credit. A more balanced approach would have allowed for a more reasonable attempt at all three requirements. Once again, candidates are reminded that their preparations should include extensive question practice under the time limits that apply in this exam and that this question practice should include discussion sections where they learn to apply their knowledge to a specific scenario.

Question 3 – Hanwood Shoes Co

AFM September/December 2021 exam (21/22 syllabus)

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Exhibits

- 1. Hanwood Shoes Co
- 2. Sale of children's shoes division
- 3. Impact and consequences of sale
- 4. Hanwood Shoes Co's SOFP

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

This information should be used to answer the question requirements within your chosen response option(s).

Requirements (28 marks)

(a) Calculate the expected sales price of the children's shoes division and demonstrate its impact on Hanwood Shoes Co's statement of financial position and forecast earnings per share. (13 marks)

(b) Discuss whether Hanwood Shoes Co's investors are likely to be satisfied with the proposed sale of the children's shoes division and its consequences for profits and funding. (7 marks)

(c) Discuss the implications for future profits and liquidity of the alternative suggestion made by the non-executive director. (5 marks)

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Hanwood Shoes Co was a 25-mark question, which translates into 45 minutes of the exam (based on 1.8 minutes per mark). The question is drawn from Section D of the syllabus and the requirements tested candidates' ability to undertake calculations relating to the disposal of one of the company's divisions and to discuss issues relevant to those calculations, including the implications for profits and funding. Candidates should recognise that the effect of financial management decisions on the financial statements of a company is a key part of the syllabus but also requires brought forward content from earlier stages of the qualification. Overall, although some candidates performed very well on this question there were also many who did not attempt all the requirements and who failed to earn many marks at all.

The detailed review below focuses on key problems that were identified and future candidates would do well to address these.

Requirement (a) – 13 marks

(a) Calculate the expected sales price of the children's shoes division and demonstrate its impact on Hanwood Shoes Co's statement of financial position and forecast earning per share.

Part (a) required candidates to calculate an expected sales price for the children's division of Hanwood Shoes Co and then demonstrate the impact of the sale on the company's statement of financial position (SOFP) and earnings per share (EPS).

Many candidates gained full marks for the valuation calculation. The calculations involved a perpetuity using the growth model and those candidates not gaining full marks generally made one of two mistakes. The first of these is not discounting the perpetuity from year 4 onwards to present value and the second mistake was not using the growth model for the perpetuity.

Having calculated the estimated value of the shoe division, candidates were then required to calculate how much of the proceeds would be used to pay off the loan and how much would be invested in non-current assets (NCA) and current assets (CA). There are four effects of the sale of the children's shoe division on the company's SOFP: the reduction in loan finance, the additional NCA, the additional CA, and the loss on disposal which reduces reserves. This proved problematic for the majority of candidates and as a result a significant number only achieved one out of four marks, for the correct investment in CA. Very few candidates were able to carry out all four adjustments correctly and the majority of candidates submitted a SOFP which did not balance. Candidates should ensure their knowledge of financial statements is at the appropriate level for the Strategic Professional stage of the ACCA qualification.

The next part of this section required candidates to calculate the effect of the sale on the company's profit forecast as well as its EPS. The majority of candidates started off well by reducing the predicted profit of the whole division by the profits from the children's shoe division. However, the scenario stated that the new investment in NCA and CA produced a return of 18% and 6% respectively. Only a minority of candidates were able to apply these returns successfully and even fewer appreciated that the loan being paid off would result in an interest saving. As the profits were provided post-tax all adjustments such as the additional returns or the interest saving had all to be adjusted for the relevant tax effect.

A significant number of candidates did not attempt the effect on profit, which limited the marks available to them. It was also disappointing to see some candidates using reserves to calculate EPS.

The use of rounding is an area where candidates could improve. There are several cases where a candidate was not consistent with their rounding format, for example moving from thousands to millions in the middle of a calculation. This led to an unnecessary loss of marks. It is recommended that candidates follow the rounding format provided in the question.

Some candidates did not make use the spreadsheet functionality, often presenting numbers with no working and this also can lead to an unnecessary loss of marks. However, it was pleasing to see a number of candidates copying the financial information from exhibit four into the spreadsheet response area as a starting point for their answer as this will have saved time.

Requirement (b) – 7 marks

(b) Discuss whether Hanwood Shoes Co's investors are likely to be satisfied with the proposed sale of the children's shoes division and its consequences for profits and funding.

Part (b) expected candidates to discuss whether investors would be satisfied with the sale and specifically asked for comments on profit and liquidity. Candidates generally provided a limited number of comments. Only a minority of candidates questioned the timing or the price of the sale and few commented on the sustainability of the growth forecasts.

The majority of candidates made limited statements about the company's liquidity and current ratio but very few went into more detail about inventory turnover. The best responses not only mentioned gearing, but also then went on to comment on the interest saved or future implications for funding.

Overall, many answers did not use the information from the scenario and relied on generic comments in this section.

Requirement (c) – 5 marks

(c) Discuss the implications for future profits and liquidity of the alternative suggestion made by the non-executive director.

This section required candidates to discuss an alternative suggestion from a non-executive director who claimed that higher profits could be achieved by investing in NCA rather than CA after the loan is paid off.

The wording was clear but many candidates failed to read the scenario correctly and assumed the loan was not being paid off. Their discussion focused on gearing, interest and risk rather than the additional return that could be earned from the investment in NCA and the resulting effect on profit. Candidates should have realised that the forecast returns from investment in NCA resulted in a 12% higher return when compared to CA and then discussed the significance of additional NCA. Many marks appeared to be lost on this section as a result of not reading the question thoroughly.

Many candidates focused on liquidity but failed to recognise the increased return from NCA compared to CA and produced answers that repeated comments from part (b).

Conclusion

Overall, many candidates seemed to struggle with the latter parts of this question, possibly due to time management. Successful candidates were able to adopt a balanced approach to their answers, rather than focusing too much time on just one aspect of the question. Once again, it is worth emphasising the importance of question practice under the time limits that apply in this exam as an essential part of candidates' preparations for this exam. This type of preparation will also help candidates to learn to take the time to read the question and requirements carefully to avoid wasting time and effort on points that have not been asked for, as seen in some of the responses to the final requirement.

The best responses also demonstrated an ability to apply their knowledge to the scenario, which is an essential skill at the Strategic Professional stage of the ACCA qualification.